

ACCA IFRS DIPLOMA JUNE 2023 Questions

1 of 4

Alpha, a parent with two subsidiaries, Beta and Gamma, is preparing the consolidated statement of profit or loss for the year ended 31 December 20X9.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. Draft financial statements – draft statements of profit or loss and summarised statements of changes in equity for Alpha, Beta and Gamma for the year ended 31 December 20X9.
2. Alpha's investment in Beta – details of Alpha's investment in Beta.
3. Alpha's investment in Gamma – details of Alpha's investment in Gamma and subsequent disposal of shares on 31 August 20X9.
4. Other information – details of intra-group trading and information on the investment income.

This information should be used to answer the question requirement within the response option provided.

1. Draft financial statements

Note: This spreadsheet has been copied into the spreadsheet Response Option			
Statements of profit or loss for the year ending 31 December 20X9			
	Alpha	Beta	Gamma
	\$'000	\$'000	\$'000
Revenue (exhibit 4)	1,935,000	280,000	900,000
Cost of sales (exhibits 2 - 4)	-495,000	-132,000	-540,000
Gross profit	1,440,000	148,000	360,000
Operating expenses	-679,000	-59,000	-156,000
Profit from operations	761,000	89,000	204,000
Investment income (exhibit 4)	128,000		
Finance costs	-30,000	-8,000	-36,000
Profit before tax	859,000	81,000	168,000
Income tax expense	-280,000	-19,000	-42,000
Profit for the year	579,000	62,000	126,000
Summarised statements of changes in equity for the year ending 31 December 20X9			
	Alpha	Beta	Gamma
	\$'000	\$'000	\$'000
Total equity on 1 January 20X9	840,000	180,000	211,000
Profit for the year	579,000	62,000	126,000
Dividends paid on 30 June 20X9	-143,000	-51,000	-67,000
Total equity on 31 December 20X9	1,276,000	191,000	270,000

2. Alpha's investment in Beta

On 1 April 20X4, Alpha acquired 80 million of the 100 million \$1 equity shares of Beta and gained control of Beta. Alpha acquired the equity shares in Beta by issuing one new share in Alpha for every two acquired in Beta. On 1 April 20X4, the fair value of an equity share in Alpha was \$3.20 and the fair value of an equity share in Beta was \$1.60. On 1 April 20X4, the net assets of Beta had a fair value of \$100 million and this was equal to the carrying amount of the net assets on this date. Alpha used the proportionate share of net assets method for measuring the non-controlling interest. No impairments of goodwill on acquisition of Beta have been necessary in the consolidated financial statements of Alpha up to and including 31 December 20X8. Beta is a single cash generating unit. On 31 December 20X9, the annual impairment review of goodwill indicated that the recoverable amounts of the net assets, including goodwill, of Beta at that date were \$235 million. Any impairments of goodwill are charged as part of cost of sales in the consolidated statement of profit or loss.

3. Alpha's investment in Gamma

Details of acquisition On 1 January 20X6, Alpha acquired 7.5 million of the 10 million \$1 equity shares in Gamma and gained control of Gamma. Alpha paid \$95 million in cash for the equity shares. On 1 January 20X6, the carrying amounts of the identifiable net assets of Gamma in its individual financial statements were \$70 million and their fair values were \$85 million. The difference was due to property whose fair value exceeded the carrying amount by \$15 million. \$11.4 million of this difference referred to the depreciable component of this property. The estimated useful life of the depreciable component of the property at 1 January 20X6 was eight years. All depreciation of property, plant and equipment is charged to cost of sales. Alpha used the fair value method for measuring the non-controlling interest when recognising the goodwill on acquisition of Gamma. The fair value of an equity share in Gamma on 1 January 20X6 was \$4.20 which can be used to measure the fair value of the non-controlling interest. No impairments of the goodwill in Gamma have occurred. Details of disposal On 31 August 20X9, Alpha disposed of its entire equity shareholding in Gamma for a cash consideration of \$330 million. Income tax payable on this disposal is expected to be \$38 million. On 31 August 20X9, Alpha credited the disposal proceeds to a suspense account. Gamma represented a separate major line of business which the Alpha Group was withdrawing from. You can assume that the profits of Gamma for the year ended 31 December 20X9 accrued evenly.

4. Other information

Intra-group trading

Beta has purchased goods from Alpha during the year. This is the first year in which intra-group trading took place. Alpha applies a mark-up of one-third to the cost of these goods when computing the sales price. Alpha sold goods with an invoice value of \$42 million to Beta during the year to 31 December 20X9. At the year end, Beta still held some of these goods, with an invoice value of \$19.2 million in inventory.

Investment income

The investment income, which is shown in Alpha's statement of profit or loss, includes the dividends received from its subsidiary entities.

Requirement (25 marks)

Using exhibits 1-4, prepare the consolidated statement of profit or loss of Alpha for the year ending 31 December 20X9. You do not need to consider the deferred tax effects of any adjustments you make. No explanations of consolidation adjustments are required.

(25 marks)

2 of 4

Theta, a listed entity, prepares financial statements to 30 June each year. You are a trainee accountant employed by Theta and report to the finance director (FD) of Theta. One of your key responsibilities is to prepare the first draft of Theta's published financial statements. You have recently received an email from the FD regarding the financial statements for the year ended 30 June 20X5. You are unsure how to respond to this email and have asked a friend of yours for advice. This friend is a qualified accountant who is not employed by Theta.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. Email – an email from the FD.
2. Attachment to the email – details information relating to the construction of new plant, a loan to finance the construction, and environmental damage.

This information should be used to answer the question requirements within your chosen response option(s).

1. Email

To: Trainee accountant
From: Finance director
Subject: Financial statement preparation
Date: 30 June 20X5

As you will know, we are just about to begin the preparation of the published financial statements for the year ended 30 June 20X5. It is very important that the upcoming set of financial results show a favourable financial performance. This will reflect well on the whole finance department, including you. I want these statements to report as high a profit as possible to satisfy the shareholders and boost the share price. I understand that you do not currently own any shares in Theta. It would be advantageous for you to purchase some shares immediately, before the latest results are published. If the results show a high profit, then the share price is likely to rise.

I would like you to prepare a draft of the financial statements for my review and approval. There is a relatively complex set of transactions which have occurred in the year ended 30 June 20X5 which you may be unsure how to deal with. These transactions are described in the attachment to this email. I have also included the way in which I would like you to deal with them in the financial statements. You should be aware that your annual performance appraisal, which I am responsible for, is due shortly.

2. Attachment to the email

We have constructed a plant and I have provided details of the costs of construction, a loan taken to finance the costs of construction and some details of environmental damage arising from the construction.

Cost of plant

On 1 January 20X5, we began to construct a plant which will produce fertiliser. This fertiliser can be sold to entities in the agricultural industry. We completed construction of the plant on 1 March 20X5 and then provided relevant employees with a comprehensive training course on the plant's operating method.

We could have begun to operate the plant from 1 April 20X5 but prior to beginning operations, we held an opening ceremony in late April 20X5 and invited a large number of potential customers to demonstrate that the plant was ready for production.

Although we started production on 15 May 20X5, this was only at a small fraction of the plant's operating capacity. We will begin to operate the plant at full capacity from 1 July 20X5.

The costs which we have incurred on this construction project to date and which I want you to include as part of property, plant and equipment (PPE) in the statement of financial position at 30 June 20X5 are as follows:

	\$'000
Materials used in the construction of the plant	4,000
Production overheads directly related to the construction of the plant	2,000
Allocation of general administrative overheads to the construction cost (using our normal overhead allocation model)	1,000
Salaries of construction staff from 1 January 20X5 to 30 June 20X5 (\$500,000 per month)	3,000
Costs of training staff in the use of the new plant	600
Cost of testing the plant's operating systems to ensure they are fit for purpose	200
Costs associated with the opening ceremony in April 20X5	250
	11,050

The estimated useful life of the plant is 20 years, and we should start to depreciate it on from 1 July 20X5 when it is operating at full capacity.

Loan

On 1 December 20X4, we borrowed \$8 million to partly finance construction of the plant. The lender charged a lending fee of \$200,000, so we actually received a net sum of \$7.8 million on 1 December 20X4. There is no interest payable on this borrowing, but we will repay \$8.52 million on 30 November 20X5. I want you to show a loan figure of \$8 million in the statement of financial position as at 30 June 20X5, and the lending fee of \$200,000 as an additional component of PPE. Do not account for the extra amount repayable on 30 November 20X5.

Environmental damage

The construction of the plant caused some environmental damage. When we stop using the plant in 20 years' time, the cost of rectifying this damage is estimated to be \$10 million. There is no legal obligation for us to rectify this damage. However, we have a reputation for rectifying all environmental damage we have caused. Since there is no legal obligation, you can forget about it from the point of view of the financial statements for the current year. A colleague of yours has stated that an annual discount rate appropriate to the risks associated with this construction project is 10% and therefore the present value of \$1 payable in 20 years' time is approximately 15 cents. However, ignore all this – I do not want any recognition of this potential future cost at all.

Requirement (25 marks)

(a) Using the information in exhibit 2, explain and show how the transactions described there should be accounted for in the financial statements of Theta for the year ended 30 June 20X5.

Notes:

- Marks will be awarded for BOTH figures AND explanations.
- Ignore taxation.
- Your answer to this part should NOT discuss any ethical issues.

(21 marks)

(b) Using the information in exhibit 1, identify and explain the ethical issues which confront you as a result of the email sent to you from the finance director and whether you should ask advice from your friend who is not employed by Theta.

(4 marks)

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Delta prepares financial statements to 30 June each year.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. Construction contract – details information regarding the construction and installation of complex machinery.
2. Joint arrangement – details information regarding an arrangement with another entity, Drax.

This information should be used to answer the question requirement within your chosen response option(s).

1. Construction contract

On 1 March 20X5, Delta signed a contract for the construction and installation by Delta of complex machines. All work was to take place at the customer's business premises. Work began on the construction on 1 April 20X5. The terms of the contract are that all work is due to be completed by 30 September 20X5.

When the work is fully completed, the machines will be subject to an independent third-party inspection and the quality of the machines will be given a rating as: unsatisfactory, satisfactory, or premium. If the rating is satisfactory or premium, then Delta will have fulfilled its obligations under the contract. The costs of the inspection will be borne by the customer.

The total basic price payable by the customer for the construction and installation of the machines was \$12 million. However, this basic price is subject to the following conditions:

- (i) The contract price increases by \$100,000 for every full week that the work is satisfactorily completed and inspected **before** 30 September 20X5, subject to a maximum additional payment of \$800,000.
- (ii) The contract price reduces by \$100,000 for every full week that there is a delay in satisfactory completion and inspection of the work after 30 September 20X5, subject to a maximum reduction in the total payment of \$800,000.
- (iii) If the third-party inspection rates the quality of the suite of machines as premium, then the contract price increases by \$600,000. This increase applies irrespective of when the inspection is carried out.

At 30 June 20X5, the directors of Delta reasonably estimated that the work would be completed four weeks after the 30 September 20X5 and that the work would be given a premium rating by the inspector.

Delta uses input methods to estimate the stage of completion of its construction contracts.

Delta's latest estimate of the total costs of completing the work was \$9.5 million. The costs incurred up to 30 June 20X5 were \$5.33 million. Details are given below:

Total estimated costs and costs incurred to date

	Total	Costs
	estimated	incurred to
	costs	30 June 20X5
	\$'000	\$'000
Commission payable to a third party re: contract negotiation	300	300
Materials used on the contract	4,200	2,200
Direct labour used on the contract (Note 1)	2,000	1,100
Costs of wasted materials (Note 1)	Nil	250
Depreciation of assets of Delta used on the contract	1,200	600
Amounts paid to sub-contracted labour	800	400
Allocation of general overheads of Delta to the contract	1,000	480
	9,500	5,330

Note 1: In May 20X5, inefficient working practices meant materials, which cost Delta \$250,000, were wasted and had to be disposed of. These inefficient working practices also resulted in additional direct labour costs of \$100,000. These costs have been included in costs incurred to 30 June 20X5 but have not been included in the total estimated costs.

On 30 June 20X5, Delta sent an invoice to the customer for \$6 million. This amount is payable on 31 July 20X5 and there is no reason to doubt that it will be paid.

(15 marks)

2. Joint arrangement

On 1 April 20X5, Delta entered into a contractual arrangement with another entity, Drax, to jointly manufacture and distribute a product for sale. The manufacturing process for the product has two distinct stages. Both stages require particular specialised skills. The employees of Delta have the necessary skills to perform stage 1 of the manufacturing process and the employees of Drax have the necessary skills to perform stage 2. Under the terms of the arrangement, Delta purchases the raw materials and performs stage 1 of the manufacturing process. The partly completed products are then transferred to Drax at their cost of manufacture to date. Drax completes the manufacturing process and sells the products.

All the costs and revenues associated with this arrangement are shared equally by Delta and Drax irrespective of who initially incurs them. Settlement of amounts owed by Drax to Delta or vice-versa, including Delta's share of cash collected from customers, will be made every three months. All decisions regarding the manufacture and distribution of the product and the collection of revenues need to be agreed by both Delta and Drax.

Details of costs associated with the arrangement for the first three months were as follows:

	Delta \$'000	Drax \$'000
Purchase of raw materials	6,500	14,000 (Note 1)
Manufacturing costs	8,500	14,500
Cost of sales		(26,000)
Advertising and distribution costs	400	1,000

Note 1:

The 'purchase' of raw materials by Drax is the cost of partly completed goods transferred from Delta to Drax.

During the three-month period from 1 April 20X5 to 30 June 20X5, Drax sold products for a total invoiced price of \$40 million. In that period, Drax received \$32 million from customers relating to the sale of these products.

(10 marks)

Requirement (25 marks)

Using the information in exhibits 1 and 2, explain and show how the transactions described there should be accounted for and reported in the financial statements of Delta for the year ended 30 June 20X5. No marks will be awarded for simply stating the five-step revenue recognition model without appropriate application to the scenario.

Notes:

- The mark allocations are indicated in each exhibit.
- Marks will be awarded for BOTH figures and explanations.

(25 marks)

4 of 4

You are the financial controller of Omega, a listed entity with a number of subsidiaries. Omega prepares financial statements to 30 June each year. One of Omega's directors, who is not an accountant, has reviewed the first draft of the consolidated financial statements of Omega for the year ended 30 June 20X5. She has raised some queries as a result of her review.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. Disclosures – details transactions between group and non-group companies.
2. Investment in Newco – details an investment made in the year ended 30 June 20X5.
3. Financial statements of Tiny and Minor – details different consolidation adjustments required for two subsidiaries.

This information should be used to answer the question requirement within the response option provided.

1. Disclosures

You will be aware that most of our group companies engage the same non-group entity (Dixon) to distribute their products to customers. Transactions with, and outstanding balances owing to, Dixon are quite significant in the context of the group as a whole.

However, one of our subsidiaries (Apex) uses another distributor (Gower). Gower is a company which is controlled by the spouse of the managing director (MD) of Apex. The MD of Apex is also a director of Omega. Transactions with Gower are quite significant to Apex as a single entity but not to the Omega group as a whole.

I am very surprised, therefore, to see details of the transactions with Gower disclosed in the consolidated financial statements but not those with Dixon. Surely this should be the other way round. Please explain this to me. What details should I expect to see in any disclosures of this nature?

(7 marks)

2. Investment in Newco

During the last year, we acquired a 35% shareholding in Newco. We paid \$60 million for this investment. There are two other shareholders in Newco, one holding 28% of the shares and the other 37% of the shares. Each shareholder, including Omega, is allowed to appoint two of Newco's six directors. Decisions at board level are made based on a simple majority of votes cast.

Newco has not paid a dividend since we acquired our shareholding because Newco needs to invest cash generated during the period to expand the business. Our draft consolidated financial statements show a figure of \$63.5 million for the investment in Newco.

I do not understand why this single figure appears in our consolidated financial statements as a non-current asset. I thought that the consolidated financial statements showed the underlying assets and liabilities of subsidiaries rather than an investment figure.

Surely Newco is a subsidiary given our significant shareholding? Even if we did show a figure for the investment in Newco in Omega's consolidated financial statements, I would have expected

it to be \$60 million, the amount we paid for the shares. Is the \$63.5 million figure based on the value of the shares at the year end? Please explain this financial reporting treatment to me.

(8 marks)

3. Financial statements of Tiny and Minor

You may be aware that we acquired control of a new subsidiary, Minor, during the year ended 30 June 20X5 and have included its results in the draft consolidated financial statements for the first time. I noticed that various adjustments were made to the figures which were shown in Minor's own individual financial statements when including them in the consolidated financial statements of Omega.

One example of an adjustment is that development expenditure incurred by Minor, and charged as an expense in Minor's own financial statements, appears to be treated as an intangible asset in the consolidated financial statements.

When I examine the individual financial statements of Tiny, an unlisted and even smaller subsidiary which was acquired some years ago, it appears that development expenditure is treated as an intangible asset in Tiny's own financial statements. In this case, no adjustments are necessary in order to include the intangible asset in the consolidated financial statements.

Please explain this apparent inconsistency to me. It would seem to me that all research and development expenditure should be treated as an intangible asset, since it is likely to produce future benefits. Surely development expenditure should be treated consistently in financial statements? Is the different treatment caused by the fact that Minor is a relatively small unlisted company using a simplified version of IFRS standards and are all small companies required to use them?

(10 marks)

Requirement (25 marks)

Provide answers to the queries raised by the director relating to the consolidated financial statements for the year ended 30 June 20X5. The queries you need to address appear in exhibits 1 - 3. You should justify your answers with reference to relevant International Financial Reporting Standards.

Note: The mark allocations are indicated in each exhibit.

(25 marks)

Answers

1 Consolidated statement of profit or loss for Alpha for the year ended 31 December 20X9

	\$'000
Revenue (W1)	2,173,000
Cost of sales (W2)	(602,600)
Gross profit	1,570,400
Operating expenses (679,000 + 59,000)	(738,000)
Operating profit	832,400
Investment income (128,000 – 80% x 51,000 + 75% x 67,000)	36,950
Finance costs (30,000 + 8,000)	(38,000)
Profit before tax	831,350
Income tax expense (280,000 + 19,000)	(299,000)
Profit for the year from continuing operations	532,350
Profit from discontinued operations (W5 – 1 mark for principle)	165,469
Profit for the year	697,819
Attributable to:	
Shareholders of Alpha (balancing figure)	664,656
Non-controlling interest (W10)	33,163
	697,819

\$'000**Shareholders of Alpha:**

Profit for the period from continuing operations (532,350 – 12,400 (see below))	519,950
Profit for the period from discontinuing operations (165,469 – 20,763 (see below))	144,706
	664,656

Non-controlling interests:

Profit for the period from continuing operations (62,000 x 20%)	12,400
Profit for the period from discontinuing operations ((84,000 – 950 (W5)) x 25%)	20,763
	33,163

Workings**Working 1 – Revenue**

	\$'000
Alpha + Beta (\$1,935,000 + \$280,000)	2,215,000
Intra-group revenue	(42,000)
	2,173,000

Working 2 – Cost of sales

	\$'000
Alpha + Beta (\$495,000 + \$132,000)	627,000
Intra-group purchases	(42,000)
Unrealised profit (1/4 x \$19,200)	4,800
Impairment of Beta goodwill (W4)	12,800
	602,600

Working 3 – Goodwill on acquisition of Beta

	\$'000
Cost of investment (80m/2 = 40m x \$3.20)	128,000
NCI (20% x \$100m)	20,000
Less fair value of net assets at date of acquisition	(100,000)
Goodwill on acquisition	48,000

Working 4 – Impairment of goodwill in Beta

	\$'000
Net assets at 31 December 20X9	191,000
Add goodwill (grossed up \$48 million (W3) x 100/80)	60,000
Total	251,000
Recoverable amount	235,000
Impairment	16,000
Group share (80%)	12,800

Working 5 – Profit from discontinued operation

	\$'000
Profit of Gamma to 31 August 20X9 (\$126,000 x 8/12)	84,000
Fair value adjustment to profit (\$11.4m x 1/8 x 8/12)	(950)
Gain on disposal of Gamma (W6)	120,419
Tax on gain on disposal	(38,000)
Profit from discontinued operation	165,469

Working 6 – Gain or loss on disposal of Gamma

	\$'000
Disposal proceeds	330,000
Less net assets at date of disposal (W7)	(237,775)
Less goodwill at date of disposal (W8)	(20,500)
Add NCI at date of disposal (W9)	48,694
	120,419

Working 7 – Net assets of Gamma on date of disposal

	\$'000
At 1 January 20X9	211,000
Profit to date of disposal (\$126,000 x 8/12 – OF rule applies from W5)	84,000
Dividend paid 30 June 20X9	(67,000)
Fair value adjustment to property:	
Depreciable component (\$11.4m x 52/96)	6,175
Non-depreciable component (\$15m – \$11.4m)	3,600
	237,775

Working 8 – Goodwill of Gamma at date of disposal

	\$'000
Cost of investment	95,000
NCI in Gamma at date of acquisition (2.5m x \$4.20)	10,500
Less fair value of net assets of Gamma at date of acquisition	(85,000)
	20,500

Working 9 – NCI in Gamma at date of disposal

	\$'000
NCI at date of acquisition (W8)	10,500
25% of movement since acquisition (\$237,775 (W7) – \$85,000)	38,194
	48,694

Working 10 – Non-controlling interest

	\$'000
Beta – 20% x \$62,000	12,400
Gamma – 25% x (\$84,000 – \$950) (W5 – OF rule applies here)	20,763
	33,163

2 Attachment to email

The relevant standard is **IAS 16 – Property, Plant and Equipment (PPE)**. IAS 16 states that the cost of an item of PPE should be its purchase price plus any costs directly attributable to bringing the asset to the location and condition for it to be capable of operating in the manner intended by management (**principle**).

Under this principle, the **materials** used in the construction of the plant should be included in the cost of PPE and also the **production overheads** directly related to its construction.

However, IAS 16 does **not allow general administrative overheads** to be included as part of PPE. Such overheads (\$1 million in this case) should be recognised in the statement of profit or loss as an **operating expense**.

IAS 16 **allows** the cost of employee benefits payable to construction staff to be included in the cost of PPE, but **only** those costs incurred during the construction period, which is January and February 20X5. Therefore **\$1 million** ($2 \times \$500,000$) will be included in PPE whilst the other \$2 million will be recognised in the statement of profit or loss as an **operating expense**.

The costs of training staff to operate the new plant **cannot be recognised in PPE** since they are specifically disallowed by IAS 16. These costs (\$600,000) should be recognised in the statement of profit or loss as an **operating expense**.

The cost of \$200,000 to test the operating systems to ensure they are fit for purpose are necessary to enable the plant to be used and should be recognised in PPE.

The costs of an opening ceremony **cannot** be recognised in PPE and should be recognised in the statement of profit or loss as an **operating expense**.

Under the principles of IFRS 9 – *Financial Instruments* – the borrowing is a **financial liability** measured using the **amortised cost** method.

The initial carrying amount of the financial liability should be the **net proceeds** received from the lender of \$7.8 million. The borrowing fee should **not** be included in PPE (**principle**).

The difference of \$720,000 (\$8.52 million – \$7.8 million) between the initial carrying amount of the borrowing and the final repayment will be a finance (borrowing) cost (**principle**). In this case, the finance cost for the year ended 30 June 20X5 will be **\$420,000** ($\$720,000 \times 7/12$).

Under the principles of IAS 23 – *Borrowing Costs* – costs of borrowings taken out to finance the construction of an asset are recognised in PPE during the period in which activities are taking place in order to get the asset ready for use (**principle**). In this case, the borrowing (finance) costs which are recognised in this way will be those incurred in the three-month period from 1 January 20X5 to 1 April 20X5 of **\$180,000** ($\$720,000 \times 3/12$).

The remaining borrowing costs of **\$240,000** ($\$420,000 - \$180,000$) will be recognised in the **statement of profit or loss as a finance cost**.

The closing borrowings balance will be **\$8,220,000** ($\$7.8 \text{ million} + \$420,000$). This will be recognised in the statement of financial position as a **current liability**.

Under the principles of **IAS 37 – Provisions, Contingent Liabilities and Contingent Assets** – a provision for the environmental rectification cost is required **if** there is an obligation arising out of a past event which can be reliably measured.

Although there is no legal obligation to rectify the damage, Theta has, by its reputation, created a constructive obligation and will undertake this expenditure, so a provision is required – sense of the point.

Where the time value of money is material, IAS 37 requires that the provision be measured at the present value of the expected future expenditure (**principle**). Therefore the provision which should be recognised from **1 March 20X5** (the date construction is completed and the environmental damage caused) and measured at **\$1.5 million** ($\$10 \text{ million} \times 0.15$).

Under the **principles** of IAS 16 this recognition provision is included as part of the cost of PPE, so an additional **\$1.5 million** is included in PPE.

Therefore the total amount included in the cost of PPE at 30 June 20X5 is \$8,880,000 (W1).

Depreciation should be charged from 1 April 20X5, the date the asset is available for use (**principle**).

Therefore depreciation for the year ended 30 June 20X5 will be \$111,000 ($\$8,880,000 \times 1/20 \times 3/12$). This will be recognised in the **statement of profit or loss** as an operating expense.

The closing balance of PPE will be **\$8,769,000** ($\$8,880,000 - \$111,000$). This will be recognised as a **non-current asset** in the statement of financial position.

As the date for payment of the \$10 million rectification cost gets closer, the discount unwinds and the unwinding amount is added to the recognised provision (**principle**).

For the year ended 30 June 20X5, the amount of the unwinding is **\$50,000** ($\$1.5 \text{ million} \times 10\% \times 4/12$). \$50,000 will be recognised in the statement of profit or loss as a **finance cost**.

The closing provision will be **\$1,550,000** ($\$1.5 \text{ million} + \$50,000$). This will be recognised as a **non-current liability** in the statement of financial position.

W1 – Spreadsheet workings: total cost of PPE at 30 June 20X5

	\$'000
Material cost	4,000
Production overheads	2,000
Construction staff salaries	1,000
Costs of testing the operating systems	200
Attributable finance costs	180
Environmental rectification provision	1,500
	8,880

Ethical issue – Email from FD

You are in danger of breaching the fundamental ethical principle of integrity. The FD has suggested that you collude in the reporting an inflated profit figure and use this information for personal gain by purchasing shares in advance of an anticipated rise in the share price following the release of the results.

You face a danger of breaching the principle of objectivity because of the way the FD has linked your complying with these instructions to your upcoming staff appraisal (*candidates who refer to an intimidation threat here will receive appropriate credit*).

You are in danger of breaching the fundamental principle of confidentiality when you ask your friend for advice. This request is almost bound to mean that you disclose confidential information to your friend.

You also may be breaching the fundamental ethical principle of professional competence and due care. The treatments suggested by the FD are clearly inappropriate and not in compliance with IFRS standards. Were you to implement them, you would be in breach of your professional duty to conduct yourself in a competent manner.

3 Exhibit 1 – Construction contract

The financial reporting treatment of this contract is governed by **IFRS 15 – Revenue from Contracts with Customers**.

Delta has a single performance obligation, to construct and install a machines.

Delta must establish the timing of recognition of revenue as to **when the performance obligation is satisfied**. IFRS 15 allows for two scenarios, the performance obligation being satisfied **over time** or the performance obligation being satisfied **at a point in time**.

IFRS 15 states that a performance obligation is satisfied when control of the goods (or services) is transferred to the customer. In the current circumstances, given that Delta is constructing and installing the machines at the customer's premises, then 'control' of the machines is being transferred to the customer as they are being constructed. Therefore the performance obligation is being satisfied over time and the revenue is recognised on this basis – sense of the point.

Given that the performance obligation is being satisfied over time, it is necessary to measure the extent of its completion at the reporting date. The question tells us that Delta uses input methods to measure the extent of completion. This involves computing the costs incurred up to 30 June 20X5 as a proportion of the total expected costs of the project – sense of the point.

IFRS 15 states that costs which were **not originally envisaged** when the contract was planned, and are caused by inefficiencies or similar issues, should be charged to **profit or loss** as incurred rather than being included as a 'contract cost'. The **same applies** to any general or administrative overheads.

In this case, the cost of wasted materials and labour costs of disposal of wasted material of **\$350,000** (\$250,000 + \$100,000) as well as the 'allocated general overheads' of **\$480,000** should be charged to the statement of profit or loss for the year ended 30 June 20X5.

At 30 June 20X5, the performance obligation would be regarded as being 52.9% satisfied (W1).

The consideration for the contract includes a variable component (based on completion dates). Where this occurs, IFRS 15 states that the revenue should be based upon the estimated amount receivable from the customer in exchange for the promised goods – sense of the point.

The total revenue will be estimated as \$12.2 million (W2).

Therefore the revenue which will be recognised in the statement of profit or loss will be \$6,453,800 (\$12.2 million x 52.9%).

Costs associated with the contract which will be recognised in the statement of profit or loss will be \$4.5 million (W1).

The statement of financial position at 30 June 20X5 will show, as a **current asset**, a contract asset of **\$453,800** (W3).

W1 – % age of completion calculation

	Total estimated cost \$'000	Cost to date \$'000
Commission	300	300
Materials	4,200	2,200
Direct labour	2,000	1,000*
Depreciation	1,200	600
Sub-contractors	800	400
Total cost for completion calculation	<u>8,500</u>	<u>4,500</u>

* This represents the \$1.1 million labour costs incurred to date less the labour costs (\$100,000) relating to the inefficient working which are taken straight to profit or loss.

Thus the contract is regarded as 52.9% complete $((4,500/8,500) \times 100\%)$.

W2 – Estimate of total revenue on the contract

	\$'000
Original contracted price	12,000
Reduction for expected four-week overrun (4 x \$100,000)	(400)
Expected additional amount due to premium quality of the work	600
Total expected revenue	<u>12,200</u>

W3 – Contract asset at 30 June 20X5

	\$'000
Revenue recognised by Delta (52.9% x \$12.2m)	6,453.8
Less: invoiced by 30 June 20X5	(6,000)
Contract asset	<u>453.8</u>

Exhibit 2 – Joint arrangement

The financial reporting treatment of this arrangement is governed by **IFRS 11 – Joint Arrangements**. IFRS 11 states that a joint arrangement is one of which two or more parties have joint control.

The arrangement between Delta and Drax is a joint arrangement because all the decisions relating to the product must be agreed by both parties, so they have joint control (sense of the point).

An arrangement is a joint operation **when the parties to the arrangement have rights to the assets and obligations for the liabilities** of the arrangement. This is the type of arrangement which Delta and Drax have entered into.

When accounting for a joint operation, each operator includes its share of the assets, liabilities, revenues and expenses of the operation (sense of the point).

This means that Delta will recognise the following amounts in the **statement of profit or loss** for the year ended 30 June 20X5:

Revenue of **\$20 million** (\$40 million x 50%).

Cost of sales of **\$13 million** (\$26 million x 50%).

Advertising and distribution costs of **\$700,000** (50% x (\$400,000 + \$1 million)).

Delta will recognise the following amounts under **current assets** in the **statement of financial position** at 30 June 20X5:

Trade receivables of **\$4 million** (50% x (\$40 million – \$32 million)).

Inventories **\$1.75 million** (W1).

An amount receivable from Drax of **\$15.95 million** (W2).

W1 – Inventories of Delta at 30 June 20X5

	Total \$'000	Delta share (50%) \$'000
Raw materials purchased by Delta	6,500	3,250
Manufacturing costs incurred by Delta	8,500	4,250
Manufacturing costs incurred by Drax	14,500	7,250
Transferred to cost of sales	<u>(26,000)</u>	<u>(13,000)</u>
So closing inventories equals	<u>3,500</u>	<u>1,750</u>

W2 – Balance receivable from Drax on 30 June 20X5

	Debit \$'000	Credit \$'000
Raw materials purchased by Delta (Drax share)	3,250	
Manufacturing costs incurred by Delta (Drax share)	4,250	
Manufacturing costs incurred by Drax (Delta share)		7,250
Advertising and distribution costs incurred by Delta (Drax share)	200	
Advertising and distribution costs incurred by Drax (Delta share)		500
Cash collected from customers by Drax (Delta share)	16,000	
Balance carried forward (debit)		15,950
	<u>23,700</u>	<u>23,700</u>

4 Exhibit 1 – Disclosures

The transactions with Gower need to be disclosed because Gower is a **related party** of Omega (the reporting entity) according to IAS 24 – **Related Party Disclosures**.

IAS 24 states that a director of an entity is a member of the key management personnel (KMP) of that entity. Key management personnel are automatically related parties. Therefore the MD of Gower is a related party of Omega as he is a director of Omega.

IAS 24 further states that close family members of the related parties of an entity are themselves related parties. Therefore the spouse of the director would also be a related party of Omega.

Finally, IAS 24 states that because Gower is **controlled** by the spouse of a director of Omega, then Gower is itself a related party of Omega.

Disclosures required relating to Gower in the consolidated financial statements would be the nature of the related party relationship, the amount of transactions in the period, and the amount of any outstanding balances with Gower (likely to be payables) at the year end.

The nature of related party relationships is such that materiality is considered using qualitative measures as well as quantitative ones. Therefore despite their relatively small amounts, transactions with Gower might need to be disclosed in the consolidated financial statements of Omega to enable the users to assess their significance (sense of the point).

Dixon is not a related party of Omega, so disclosure of transactions and balances would only be necessary if this was considered relevant to the overall understanding of the consolidated financial statements (sense of the point).

Exhibit 2 – Investment in Newco

Newco is not a subsidiary of Omega. Based on the principles outlined in **IFRS 10 – Consolidated Financial Statements** – a subsidiary entity is one which is **controlled** by the investor. The facts here indicate that Omega cannot exercise control over Newco, **based on** a shareholding of only 35% and an ability to appoint only two out of its six directors.

The ability to appoint two of the six directors, and the ownership of 35% of the shares would, however, given the rights of appointment of the other directors, and the ownership of the other shares, appear to give Omega the ability to exercise significant influence over Newco – sense of the point.

Under the principles of **IAS 28 – Investments in Associates and Joint Ventures** – Newco would be regarded as an **associate** of Omega because of the ability of Omega to exercise significant influence. IAS 28 contains a rebuttable presumption that ownership of **20%** or more of the equity shares of an entity gives the investor the ability to exercise significant influence.

Where the investor prepares consolidated financial statements (the case for Omega), then IAS 28 requires the investor to account for the investment in the associate under the **equity method**. Under the equity method, the investment in the associate is shown at **cost plus the investor's share of the post-acquisition change in net assets of the associate**. The post-acquisition increase in the carrying amount of the investment is shown in **profit or loss or other comprehensive income**.

If there are transactions between the associate and the investor, then any profits made by either party are eliminated to the extent of the investor's share in the associate. If, at the year end, the investment in the associate has suffered impairment, then the investment should be written down to its recoverable amount.

The increase in the carrying amount of Omega's investment in Newco **implies** that, since acquisition, the net assets of Newco have increased by \$10 million and Newco's share of this increase is \$3.5 million.

This means that the carrying amount of \$63.5 million for the investment in Newco is not necessarily the value of the shares at the year end. This value will be determined by market forces – sense of the point.

Exhibit 3 – Financial statements of Tiny and Minor

Based on the principles outlined in **IFRS 10 – Consolidated Financial Statements** – all group entities should be reflected in the consolidated financial statements by applying uniform accounting policies. If individual group entities prepare their financial statements using accounting policies which differ from those of the parent, then appropriate adjustments should be made when reflecting their assets, liabilities, profits and losses in the consolidated financial statements.

It would suggest that due to the size of the company, Minor is preparing its financial statements using the IFRS for SMEs (SMEs Standard) while Tiny is applying the full International Financial Reporting Standards (IFRS standards) – sense of the point.

The ability to use the SMEs Standard, however, does not depend on the size of the reporting entity, but on whether or not the entity is 'publicly accountable'. It is likely therefore that Minor is not 'publicly accountable'.

Entities which are not publicly accountable have the right, but not the obligation, to use the SMEs Standard rather than full IFRS standards. This could explain why Minor is using the SMEs Standard but Tiny is not.

The SMEs Standard contains less detailed reporting requirements than full IFRS standards and provides for more straightforward accounting treatments in certain cases – sense of the point.

A specific example of the above is that under the SMEs Standard, all research and development costs are charged as an expense in the statement of profit or loss in all circumstances.

Accounting for research and development costs under full IFRS is governed by **IAS 38 – Intangible Assets**. IAS 38 requires that development costs are recognised as an intangible asset once there is a separately defined project, with clearly identifiable expenditure, adequate resources to complete the project, and reasonable certainty that future economic benefits will exceed the capitalised costs. IAS 38 requires research costs to be charged as an expense to profit or loss in all circumstances because at the research stage there is no definite prospect of future benefit for the reporting entity – sense of the point.

In future periods it might be beneficial to require Minor to use full IFRS standards in the preparation of its individual financial statements to make the consolidation process more straightforward as no adjustments would be required.

	<i>Marks</i>
1 Statement of profit or loss	
– Revenue	1
– Cost of sales	2
– Impairment of Beta goodwill	5.5
– Investment income	1.5
– Operating expenses, finance costs, income tax	1.5
	<u>11.5</u>
Profit from discontinued operations	
– Gain on disposal of Gamma	7
– Profit share, fair value adjustment, tax	3.5
	<u>10.5</u>
Profit for the year	
– Shareholders of Alpha	0.5
– Non-controlling interest	2.5
	<u>3</u>
	<u>25</u>
2 Attachment 1	
– Explanations per IAS 16	5.5
– Calculations	1
– Explanations per IFRS 9	3
– Calculations	2.5
– Explanations per IAS 23	1
– Calculations	0.5
– Explanations per IAS 37	5
– Calculations	2.5
	<u>21</u>
Ethics	<u>4</u>
	<u>25</u>
3 Exhibit 1	
– Explanations per IFRS 15	8
– Calculations	7
	<u>15</u>
Exhibit 2	
– Explanations per IFRS 11	5
– Calculations	5
	<u>10</u>
	<u>25</u>

	<i>Marks</i>
4 Exhibit 1	
– Explanations per IAS 24	<u>7</u>
Exhibit 2	
– Explanations per IFRS 10	1
– Explanations per IAS 28	<u>7</u>
	<u>8</u>
Exhibit 3	
– Explanations per IFRS 10	2
– Explanations IFRS for SMEs	5
– Explanations per IAS 38	<u>3</u>
	<u>10</u>
	<u>25</u>